Sample Banking Know Your Customer (KYC) Policy

Training and RAG-ingestion demonstration document

Important: This is a fictional sample created for software development and learning. It is not an actual bank policy and must not be used as regulatory or compliance guidance.

1. Purpose of KYC

Know Your Customer (KYC) is the process a financial institution uses to establish and verify a customer's identity. The process helps the institution understand who it is providing services to and supports the prevention of identity fraud, money laundering, terrorist financing, and other financial crime risks.

2. Customer identity information

During onboarding, the institution may collect information needed to identify the customer. For this fictional example, the information includes the customer's full legal name, date of birth, residential address, contact details, and an approved identity document. The institution should collect only information required for its defined onboarding process.

3. KYC verification statuses

PENDING: The customer's information has been submitted but verification is not complete.

VERIFIED: The submitted information has passed the institution's verification checks.

REJECTED: Verification could not be completed successfully, for example because required information was missing or inconsistent.

4. Verification workflow

A typical fictional workflow begins when the customer submits onboarding information. The system checks that mandatory fields are present, validates the supplied documents, and routes exceptions for review. The customer's KYC status remains PENDING until the required checks are completed.

5. Handling failed verification

If verification fails, the case should be marked for investigation or correction according to the institution's approved procedures. The customer may be asked to provide corrected or additional information. The institution should record the reason for failure and retain an appropriate audit trail.

6. Periodic customer information review

Customer information may need to be reviewed periodically or when a relevant change is identified. Examples include a change of address, an expired identity document, or a material change in the customer's profile. The frequency and depth of review should be defined by the institution's own risk and compliance procedures.

7. Access and confidentiality

KYC records should be accessible only to personnel and systems with an authorized business need. Applications should apply authentication, role-based authorization, secure transmission, and appropriate audit logging. Sensitive customer information should not be exposed in general application logs or to unauthorized users.

8. Example questions for a knowledge assistant

- What is the purpose of KYC?
- What does PENDING KYC status mean?
- What does VERIFIED KYC status mean?
- What should happen when KYC verification fails?
- Why might customer information need periodic review?
- Who should be allowed to access KYC records?

9. Out-of-scope example

This sample does not define home-loan approval criteria, credit scoring rules, interest rates, or lending eligibility. A knowledge assistant using only this document should say that those details are not available in this KYC policy sample.

End of sample document. All names, workflows, and policy descriptions are illustrative.